Iron Mountain (NYSE: IRM)

March 10, 2025

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Iron Mountain Corp (NYSE: IRM)

Company Overview

General Company Operations

COMPANY DESCRIPTION

- Iron Mountain (NYSE: IRM) is a specialized real estate investment trust (REIT) who are a global leader in data storage, information management, and data centers solutions worldwide
- Founded in 1951 and headquartered in Boston, Iron Mountain currently has 225,000+ customers including ~95% of Fortune 1000 with a real estate network of more than 85 million square feet across more than 1,400 facilities in 61 countries and 416MW currently leased with 165MW in construction across their data center portfolio
- Iron Mountain focuses on B2B facilities and services focuses on secure storage, information management, and data protection. Their services include records storage, data centers, secure shredding solutions, catering to compliance-driven businesses, digital asset management
- Iron Mountain's diverse services in strategic support companies in optimizing their information life cycle, with growth drivers like the data center expansion for the AI boom and cloud computing, digital transformation, and demand for sustainable data solutions

MANAGEMENT TEAM

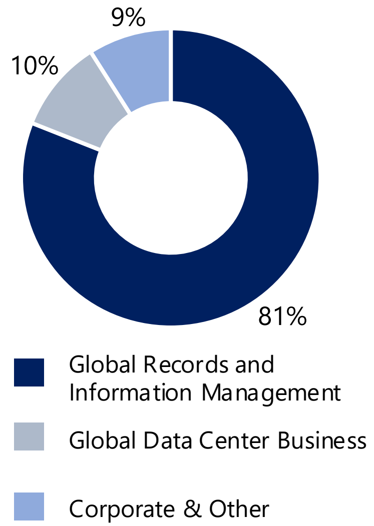



Name	**William Meaney**	**Mithu Bhargava**	**Mark Kidd**	**Greg McIntosh**
Position	President & CEO	VP and GM, Digital Solutions	VP and GM, Data Centers & ALM	VP and GM, Global Record and Record Management
Exp Yrs.	26+	16+	17+	24+
Previous Exp.	CEO of The Zuellig Group	President of Solifi	SVP and GM	SVP and GM, Canada

KEY STATISTICS

Ticker	**NYSE: IRM**
Share Price	$84.38
52 Week High / Low	$130.24 / $73.45
Beta 5Y	1.08
Enterprise Value	$41.00B
Market Cap	$24.79B
EV / EBITDA	21.50x
P / E	153x

REVENUE SEGMENTATION



- **RIM:** Provides records and information management services, including data management, digital solutions, secure shredding, media storage, and consumer storage, integrating physical and digital solutions for comprehensive data protection.
- **Data Centers:** Provides secure data ensuring IT infrastructure, serving 5 of the largest hyperscalers for over 20 years.
- **Corporate & Other:** Primarily consisting of Asset Lifecycle Management (end to end asset management) & Fine Arts (providing technical expertise) along other corporate functions that benefit the enterprise

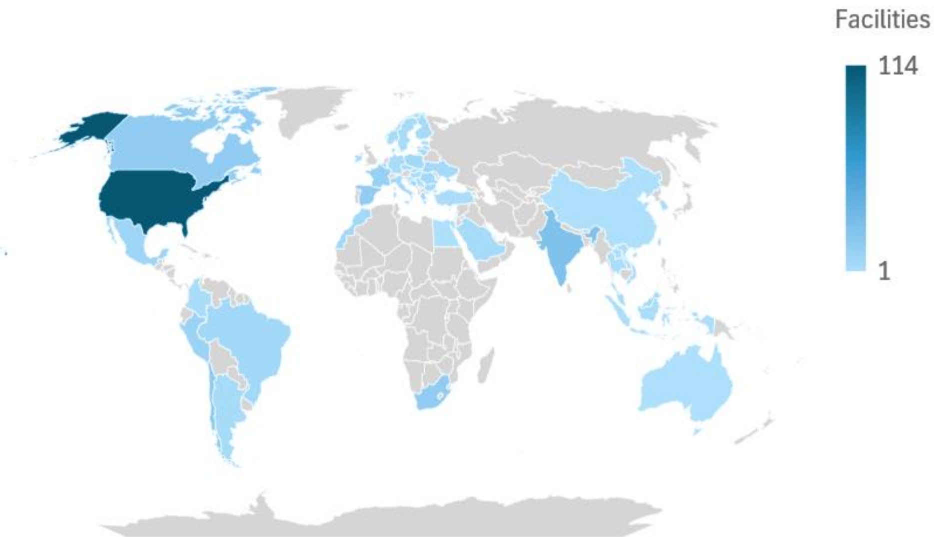
Source(s): Capital IQ, Company Filings, Company Website

Note: Market Data as of March 9th, 2025

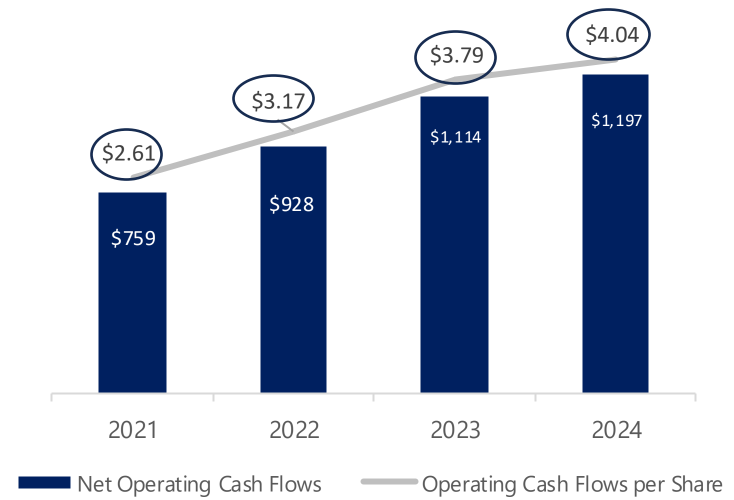
Company Overview

Financial and Market Relevance Held by IRM

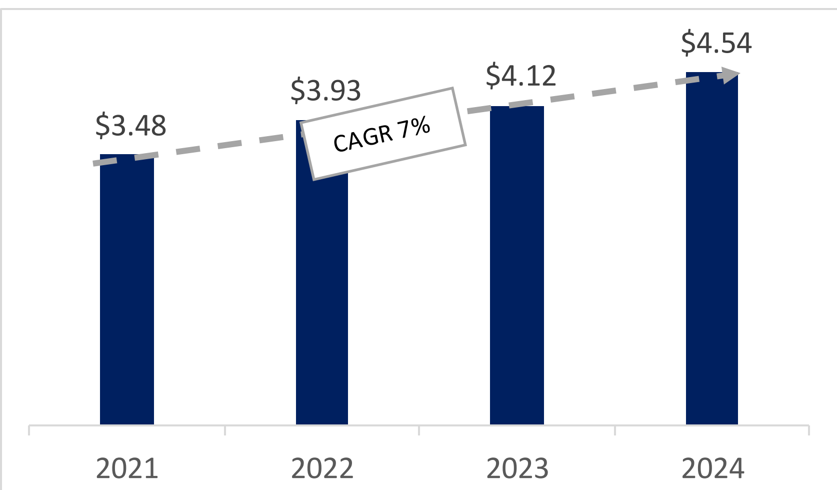
GEOGRAPHICAL BREAKDOWN



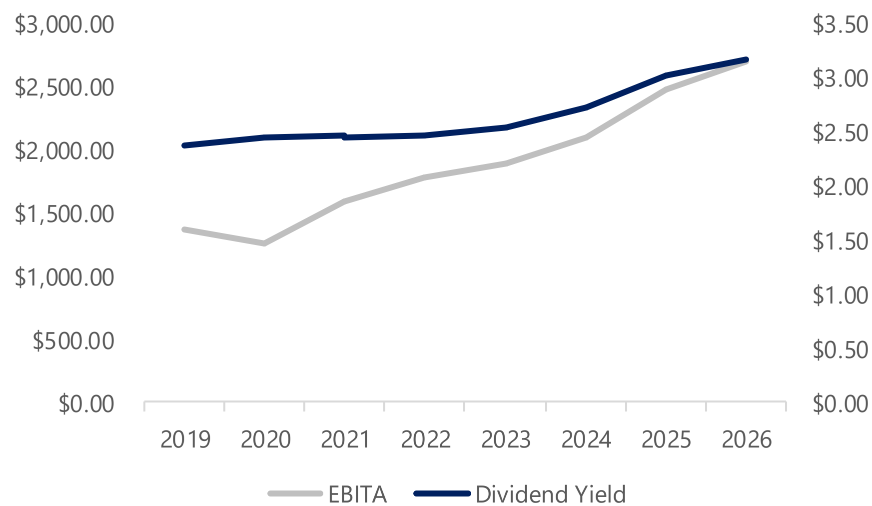
NET OPERATING CASH FLOW with Cash Flows per Share



CORE FFO PER SHARE



EBITDA with Dividend Yield



Industry Analysis

Evolving Market Dynamics of Speciality REIT's: Growth, Stability, and Key Drivers

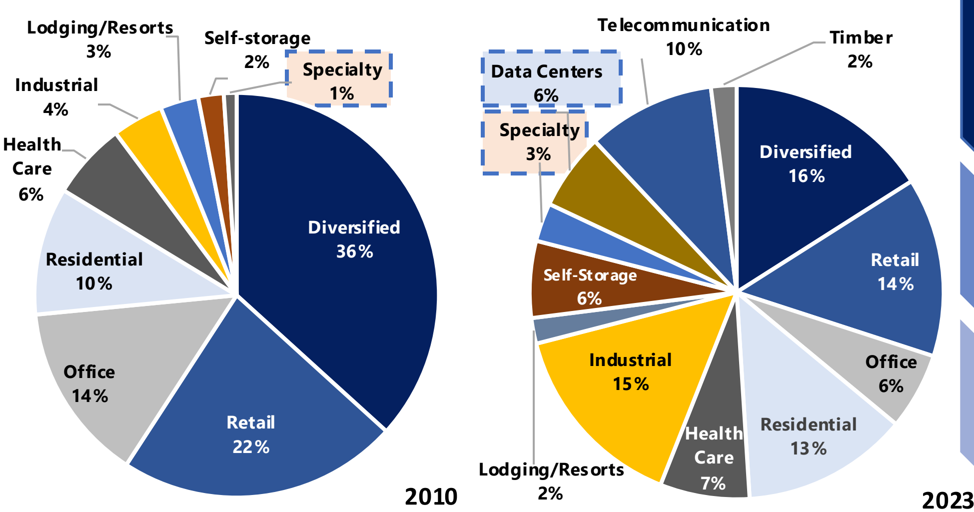
What are REITs?

- Real Estate Investment Trusts (REIT) are companies that own, operate, or finance income-generating real estate across various sectors. REIT's can vary across industries, ranging from traditional sectors like residential, commercial, and industrial to specialized sectors such as data centers, infrastructure, healthcare, and storage solutions
- The global REIT market is valued at $1.8 trillion, with steady growth driven by increasing demand for real estate-backed income streams

Benefits of IRM being a REIT

- REIT's are structured to bypass corporate income tax by distributing at least 90% of their taxable income to shareholders as dividends, ensuring tax-efficient capital returns
- Iron Mountain leverages efficient access to capital markets to strategically acquire and develop properties, supporting the expansion of its portfolio.
- The REIT Structure enhances operational efficiency by enabling Iron Mountain to convert leased facilities into owned assets, reducing costs and improving long-term financial flexibility.

Global Growth in Data Center and Specialty Infrastructure REITs



Industry Market Mapping – Top Competitors

IRON MOUNTAIN®	1349 Total Facilities	581 MWs Leased + 699 Held for Future Lease
EQUINIX	262 Total Facilities	292 MWs Leased + 150 Held for Future Lease
DIGITAL REALTY	309 Total Facilities	2700 MWs Leased + 645 Held for Future Lease
Total	1920 Facilities	3573 MWs Leased + 1494 Held for Future Leases

Industry Trends & Drivers

- **Continued adoption of AI integration drives demand for data services**
  - Global revenue generated from datacenters is expected to be $452.53B in 2025
- **Shifting Globalization Generate Opportunities**
  - Development in IT in emerging economies opens opportunity for information management to grow
- **Increased specialized REITs' leading way for innovation**
  - Diversified REITs make up less than 2% of FTSE EPRA Nareit North American Index highlighting a shift towards specialized REITs

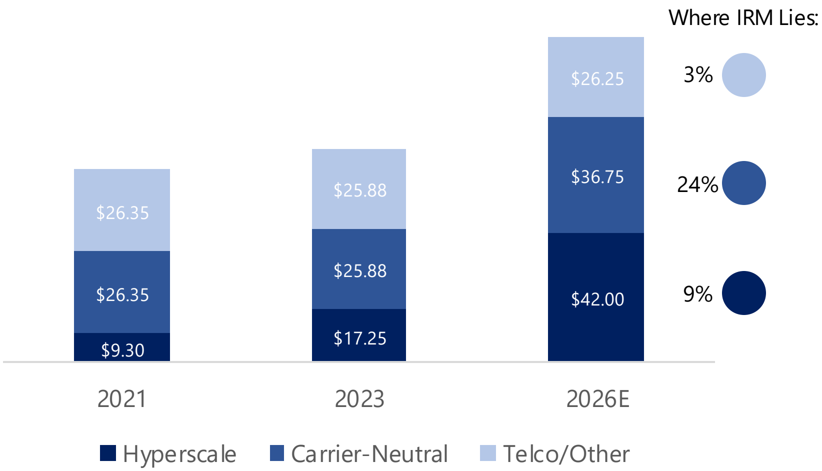
Investment Thesis I:

Positioned to Capitalize on the AI Boom and Expanding Global Cloud Computing Infrastructure

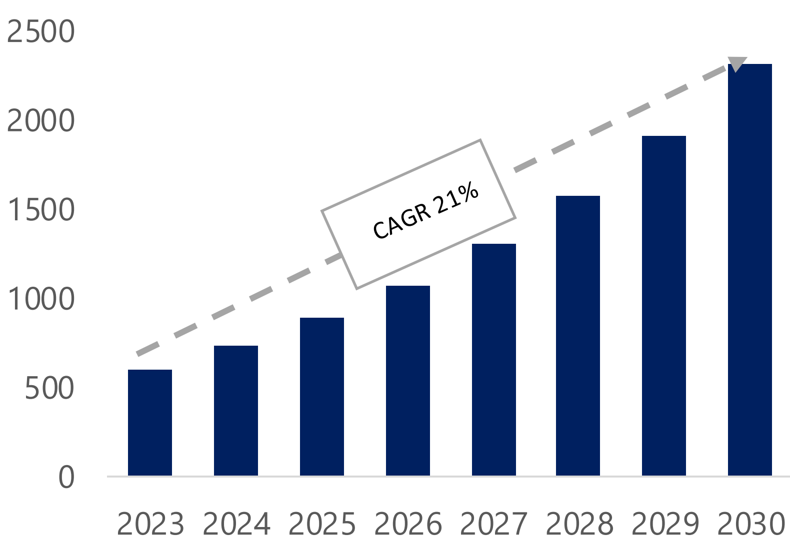
The AI boom in Need of Data Centers

- **Power and Infrastructure Requirements**: AI training and interface workloads demands high-performance computing, and increasing power with AI servers consuming 10x more power than traditional CPU-based servers
- With AI becoming increasingly more advanced it needs an abundance of storage for data access for training and predictions
- **Supply Lagging Behind Demand:** Global demand for data center capacity could rise to 219GW rising at an annual rate of 22% by 2030 while only 120GW are estimated to be supplied
- **Requirement of efficient cooling systems:** The higher density and power used by the AI workloads generate mass heat requiring more advanced cooling solutions than the original data centers provide
- **Partnerships with hyperscalers:** The increasing need for in house model building requires greater data center storage which leadings to hyperscalers to partner with colocation providers (like Iron Mountain) to expand their infrastructure

Data Center Market Size Projections



Projected Global Cloud Computing Market (Billions of USD)



Current Outlook

JPMorgan Analyst: "Iron Mountain's transition from a traditional storage and logistics company to an integrated digital solutions provider comes as its core records and information management business faces stagnation, raising concerns about the sustainability of its long-term growth."

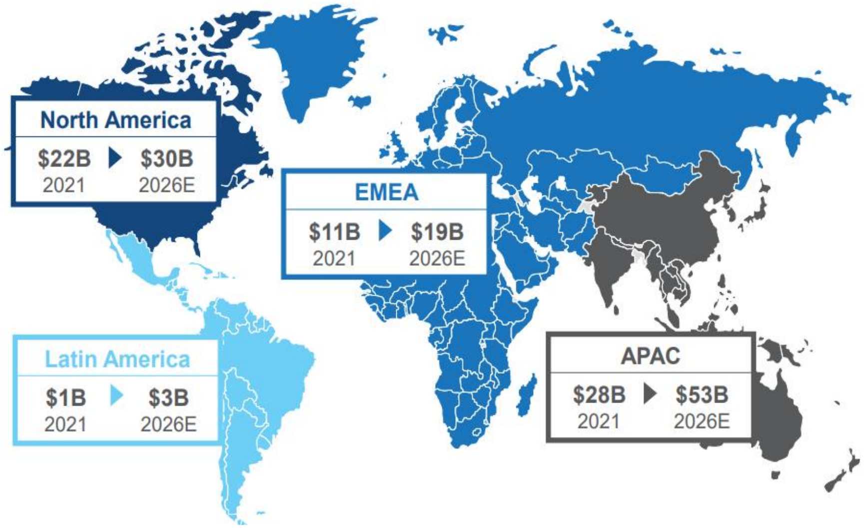
Overlooked Market Advantage: The market has not fully priced in Iron Mountain's dominance over competitors, offering a broader range of integrated services – Project Matterhorn. Companies, particularly cloud providers are more inclined to choose IRM for both data centers and records management rather than sourcing from multiple vendors, ensuring efficiency and long-term client retention

Source(s): FactSet, CapitalIQ, JPMorgan

Investment Thesis I:

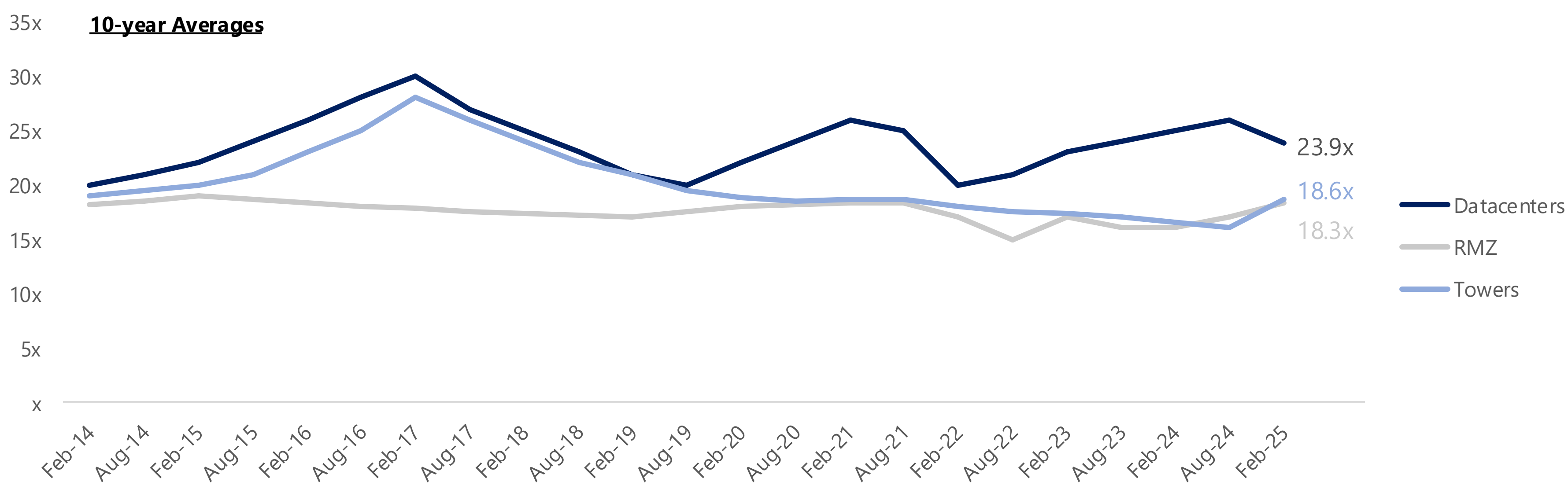
Positioned to Capitalize on the AI Boom and Expanding Global Cloud Computing Infrastructure

Data Centre Colocation Market Size by Region



Project Matterhorn Operating Model

EV/NTM EBITDA by Sector



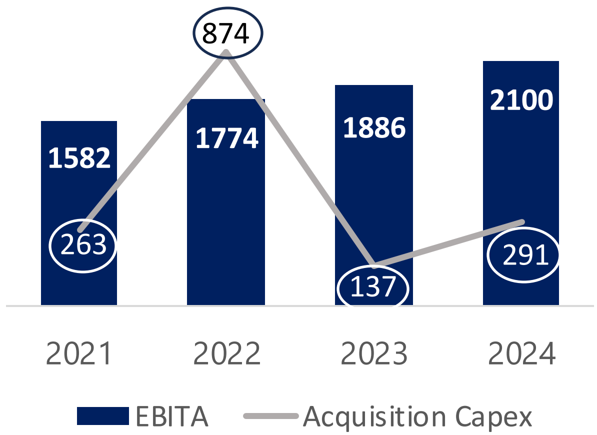
Source(s): Yahoo Finance, Company Filings

Investment Thesis II

Strengthening Market Position Through Expansion and Acquisitions

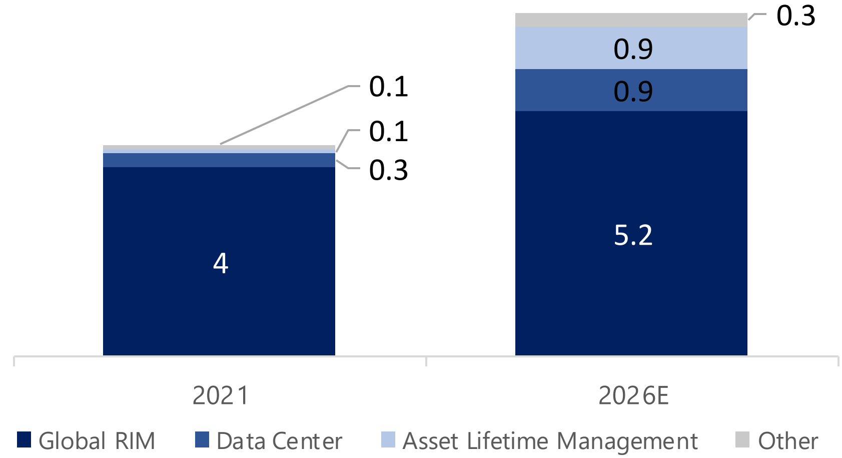
Project Matterhorn Brings Strong EBITDA

- Investment into acquisitions for data infrastructure through Matterhorn aims to capitalize on growing demand of data solutions in all industries (Millions of USD)

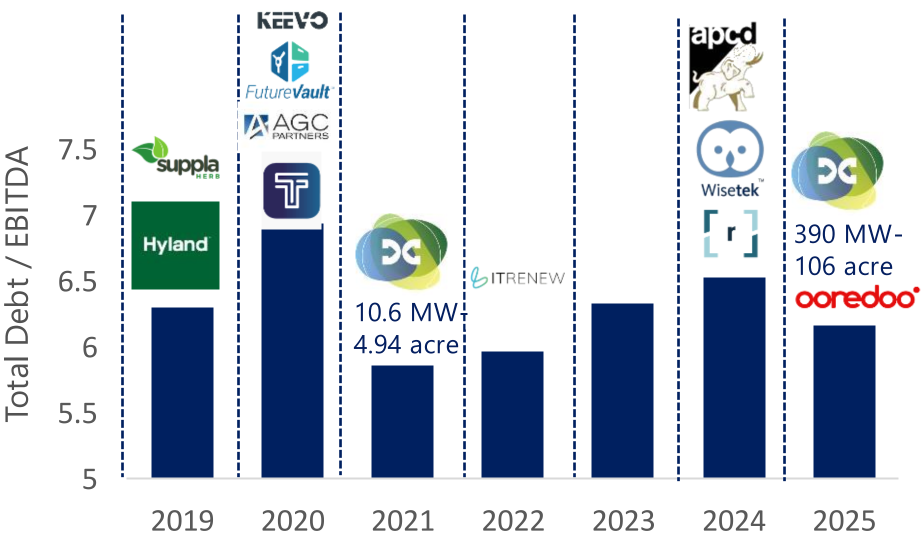


Strong Organic Revenue Growth

- Diverse revenue streams with robust growth across AI and non-AI related segments (Billions of USD)

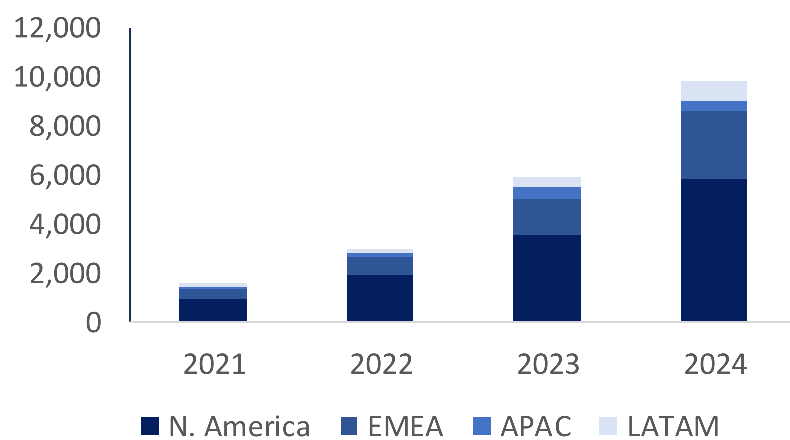


IRM Past Acquisitions



Global Megawatt Absorption from Data Centers by Region

- IRM acquisition in MENA region aligns with growth of megawattage in EMEA



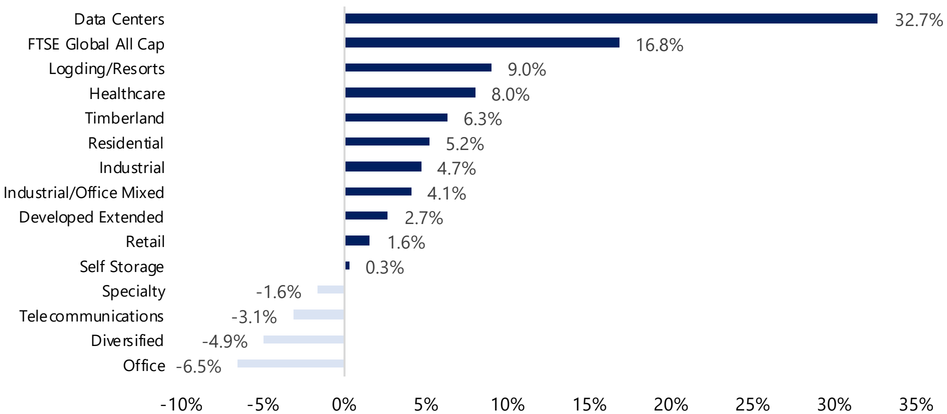
Investment Thesis III

Positioned to Capitalize on Growing Demand for Sustainable Data Solutions

Data Centers Lead Returns Across Real Estate Sectors

- Remarkable 32.7% YTD return: highlighting strong demand. IRM is capitalizing on this through high acquisition CapEx in 2023

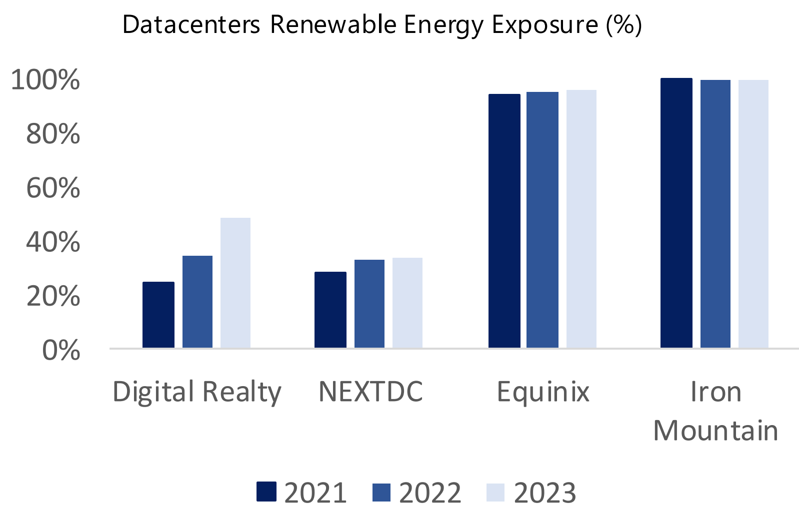
YTD Total Returns as of Dec 1, 2023



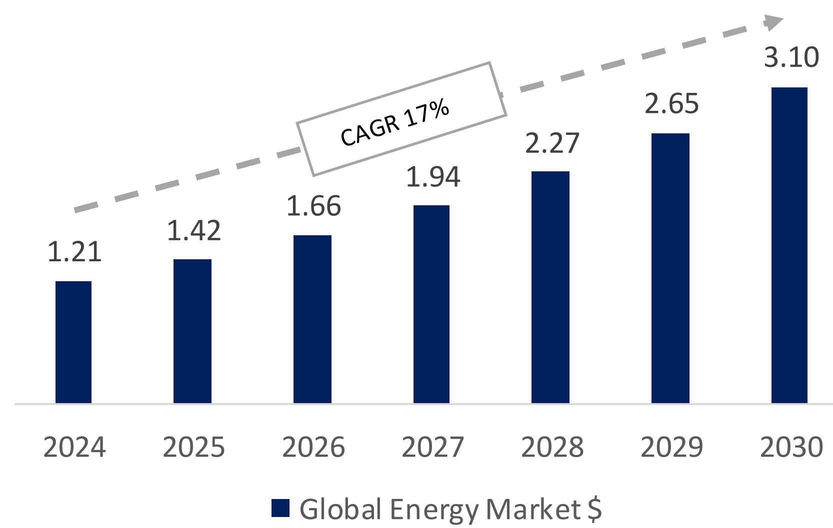
Competitive Advantage

- **Synergy in Capital-Intensive Data Centers:** Data centers are typically more capital-intensive than traditional logistics space, with high energy and security requirements. Iron Mountain's expertise in sustainable building infrastructure provides a natural synergy for data center development, potentially lowering costs and accelerating timelines.
- **Recognition for Sustainability:** Goal of net-zero greenhouse gas emissions by 2040; all data center construction will be certified to BREEAM Green Building Standards. It received recognition from the CDP list for climate performance. Its data centers are being powered 100% by renewable energy.
- **Regency Technologies Acquisition:** Regency has a market-leading footprint for the remarketing and recycling of IT assets – assists in IRM's sustainability initiatives

Iron Mountain's Green Power Advantage in Data Centers



Global Renewable Energy Market



Source(s): RBC Capital Markets

Risks, Mitigants, and Catalysts

Mitigated Risks and Attractive Catalysts Will Ensure Stable Growth Well Into The Future

Risks

Leverage and Capital Allocation Risk

Having a Debt/EBITDA ratio of 6x, Iron Mountain's aggressive debt-financed investments in data centers poses a large risk as it could cause a strain on its Balance Sheet.

Leasing Capacity and Supply Constraints

Long term supply concerns remain due to power and capacity constraints, and most planned supply is expected later in the decade or early 2030s, creating potential leasing bottlenecks.

Foreign Exchange and Slowdown in AI Investments

Iron Mountain faces 100–150 basis points of pressure FX fluctuations, increasing cost of capital relative to peers.

Mitigants

Strong and Stable Cash Flows

IRM has strong recurring cash flows from its storage business, which supports debt servicing and data center expansion. Additionally, the company optimizes its capital structure by extending debt maturities and securing low fixed rates.

Pre-Leases and Expansions to increase Supply

IRM has secured pre-leases for 2025 and 2026, and its Project Matterhorn expansion plan ensures a structured rollout of new capacity to match future demand.

Diversified Global Footprint

IRM has a diversified global footprint that helps balance currency fluctuations, and they actively manage pricing structures and expense efficiency to offset cost pressures.

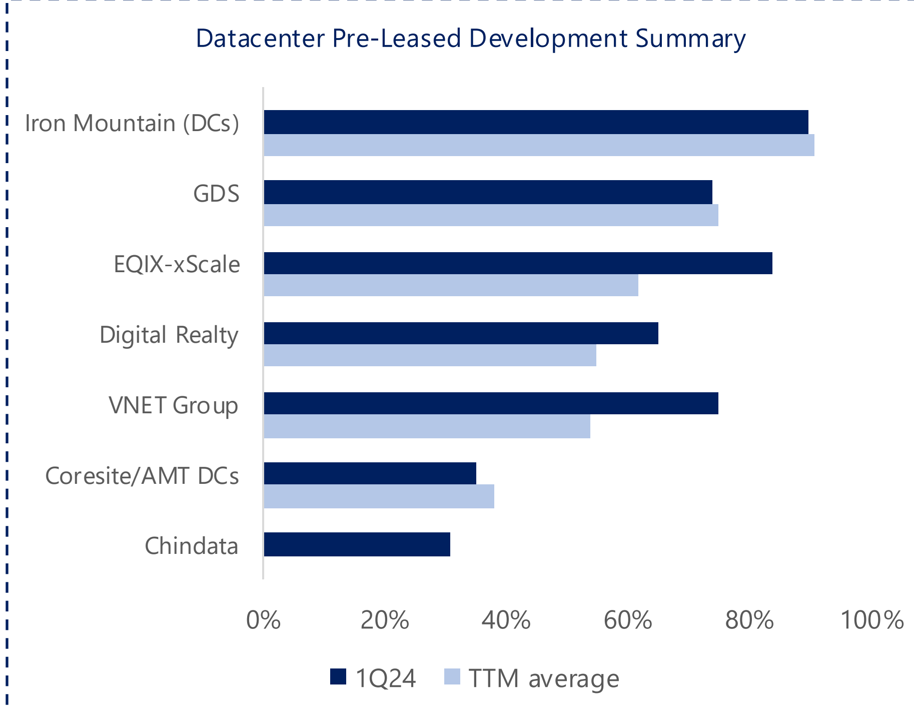
Catalysts

Cloud Computing Market Growth

Poised to benefit from the 16.7% CAGR in the cloud computing market with its cloud data protection and storage solutions.

Backlog of Pre-Leases

Strong backlog of pre-leases ensures priority access to new capacity, positioning it as a leader in securing long-term data center contracts. Leading Pre-Leased rate in the industry as shown below



Valuation I: DCF Model

Unlevered Free Cash Flow (mm)					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Revenue	**4,492**	**5,104**	**5,480**	**6,150**	**6,876**	**7,627**	**8,313**	**9,062**	**9,877**	**10,667**	**11,521**	**12,442**	**13,438**	**14,513**
Operating Expenses	2,910	3,330	3,594	4,036	4,491	4,981	5,429	5,918	6,451	6,967	7,524	8,126	8,776	9,478
EBITDA	**1,582**	**1,774**	**1,886**	**2,114**	**2,385**	**2,646**	**2,884**	**3,144**	**3,426**	**3,701**	**3,997**	**4,316**	**4,662**	**5,035**
D&A	680	728	776	901	949	1,006	1,062	1,116	1,170	1,233	1,297	1,363	1,433	1,508
(EBIT)	**901**	**1,046**	**1,110**	**1,213**	**1,436**	**1,640**	**1,822**	**2,027**	**2,257**	**2,468**	**2,700**	**2,953**	**3,228**	**3,527**
Taxes	235	275	241	321	352	410	456	507	565	617	675	739	808	882
NOPAT	**666**	**771**	**869**	**892**	**1,084**	**1,230**	**1,366**	**1,520**	**1,692**	**1,850**	**2,024**	**2,214**	**2,421**	**2,644**
(+) D&A	680	728	776	901	949	1,006	1,062	1,116	1,170	1,233	1,297	1,363	1,433	1,508
(-) Capital Expenditures	1,081	1,106	2,125	1,710	1,535	1,616	1,700	1,787	1,879	1,977	2,079	2,186	2,299	2,418
(-) Change in NWC	(1,024)	321	(211)	(828)	361	47	(103)	(112)	(122)	(12)	(119)	(129)	(139)	(150)
Unlevered Free Cash Flow	**1,289**	**72**	**- 269**	**911**	**137**	**573**	**831**	**961**	**1,105**	**1,118**	**1,362**	**1,520**	**1,694**	**1,885**
PV of FCF					**129**	**503**	**685**	**743**	**800**	**759**	**867**	**907**	**948**	**988**

Implied Share Price Calculation	
Enterprise Value	53,908
(+) Cash	156
(-) Debt	16,369
(-) Minority Interest	276.6
Equity Value	37,418
Shares Outstanding (mm)	294
Implied Share Price	**$ 127.40**
Current Share Price	$ 84.38
Implied Upside	**51%**

Sensitivity Analysis

		Growth Rate				
	$127.40	3.00%	3.50%	4.00%	4.50%	5.00%
WACC	5.70%	142.53	158.93	184.97	232.72	348.68
	6.20%	123.32	134.13	149.85	174.81	220.57
	6.70%	108.22	115.78	127.40	141.20	165.13
	7.20%	95.82	101.34	108.59	118.52	132.96
	7.70%	85.32	89.49	94.79	101.74	111.26

- **Revenue Growth (%)** taken to be around 12% in the first couple of years (decreases and flattens at 8% for the rest) based on historical growth, as well as data centers expansion and increasing digital storage demand
- **Operating Expenses** taken as a % of Revenue
- **D&A** and **CapEx** forecasted as a % of beginning PP&E
- **WACC** of 6.7% and **Terminal Growth Rate** of 4%

Comparable Company Analysis – Recommendation: BUY with Target Price of ≈$127

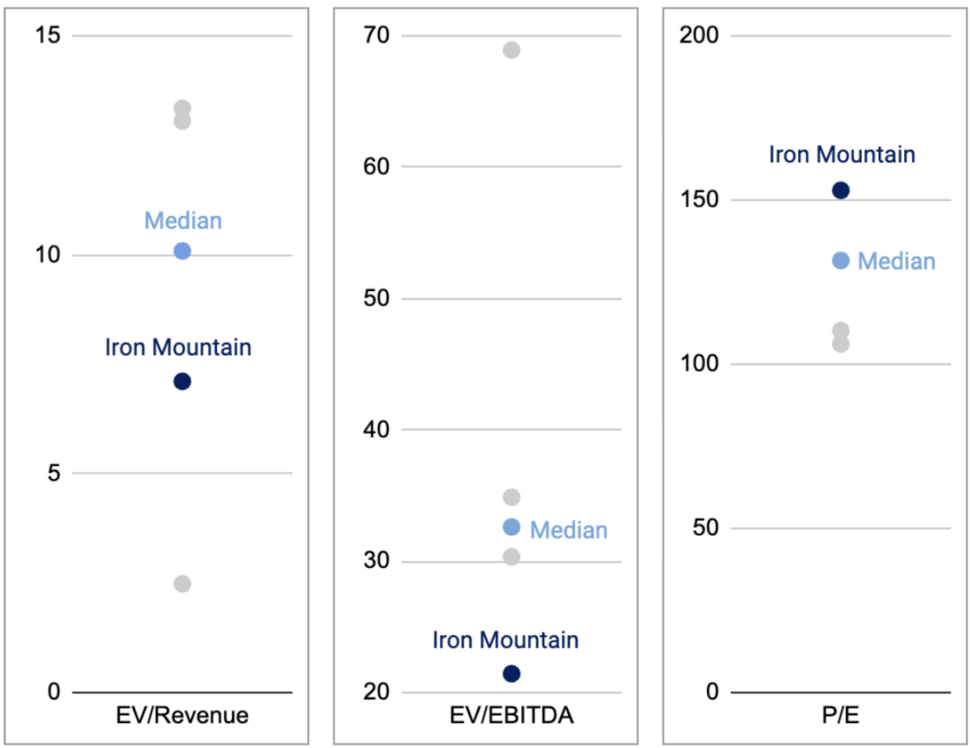
Based on Mar 7. 2025 – After Market Close

Company	Ticker	Market Data: Share Price	Market Data: Shares Outstanding (mn)	Market Data: Net Debt	Market Data: Enterprise Value	Financials: Revenue	Financials: EBITDA	Financials: Net Income	Valuation: EV/Revenue	Valuation: EV/EBITDA	Valuation: P/E
Iron Mountain	IRM	93.81	294	16370	43750	6150	2042	180	7.11	21.42	153
Digital Realty Trust	DLR	170.99	343	18001	72580	5435	2393	602	13.35	30.33	106.19
Equinix	EQIX	938.43	97	18960	106730	8173	3061	815	13.06	34.87	110.26
LiveRamp Holdings	RAMP	32.57	66	38	1810	729	26	0.08	2.48	68.94	27177

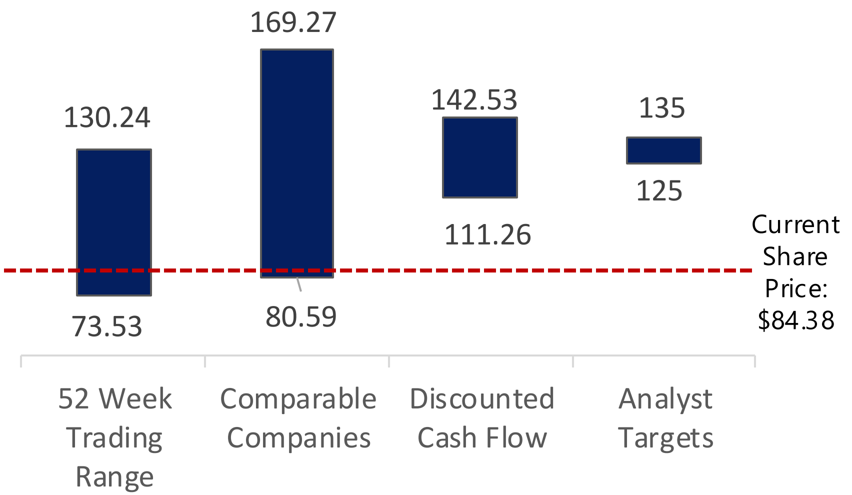
	EV/Revenue	EV/EBITDA	P/E
Industry Median	10.1x	32.6x	131.6x
Industry Average	9.0x	38.9x	6886.6x

Iron Mountain Company Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	55350	66569	39630
Net Debt (-)	16370	16370	16370
Cash (+)	156	156	156
Minority Interest (-)	277	277	277
Implied Market Value	38547	49766	23693
Shares Outstanding	294	294	294
Implied Value Per Share	**131.11**	**169.27**	**80.59**
Average Share Price from Multiples	**126.99**		

Financial Ratios of Competitors and Industry



Football Field Analysis



Appendix

Terminal Value - Gordon Growth	
Terminal Growth Rate	4%
Terminal Year UFCF	1,885
Discount Rate	6.7%
Terminal Value	73,446
Time Period	10
PV of Terminal Value	38,512

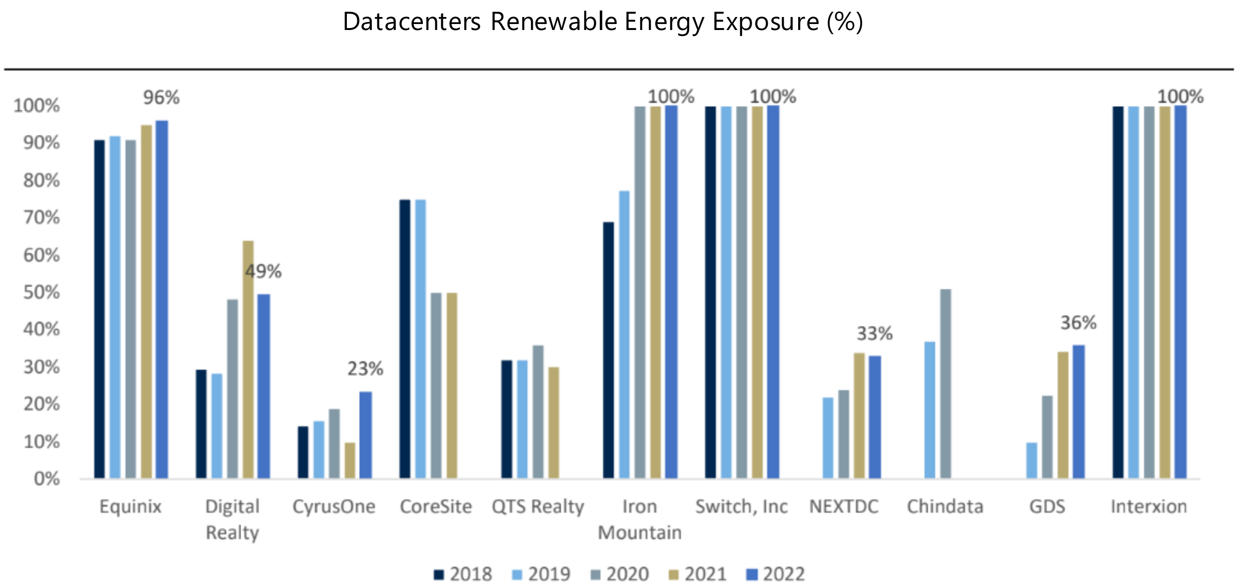
Terminal Value - Exit Multiple	
Exit Multiple	20.7x
Terminal Year EBITDA	5,035
Discount Rate	6.7%
Terminal Value	104,217
Time Period	10
PV of Terminal Value	54,647

Terminal Value Calculation	
Gordon Growth	38,512
Exit Multiple	54,647
Average	46,580

Weighted Average Cost of Capital (WACC)	
Total Debt (mm)	16,369
Market Cap (mm)	27,673
Cost of Debt	4.5%
Tax Rate	26.5%
D/(D+E)	37.2%
After Tax Cost of Debt	**3.3%**
Risk Free Rate (10 Year US Treasury Rate)	4.6%
Equity Risk Premium	4.0%
Levered Beta	1.04
E/(D+E)	62.8%
Cost of Equity	**8.7%**
WACC	**6.7%**

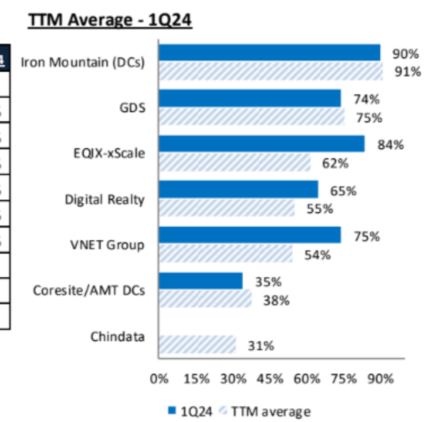
								1	2	3	4	5	6	7	8	9	10
Fiscal Year	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Storage Rental Revenue	2,622.5	2,681.1	2,754.1	2,870.1	3,034.0	3,370.6	3,682.3	4,043.0	4,497.0	4,988.1	5,437.0	5,926.3	6,400.4	6,912.4	7,465.4	8,062.7	8,707.7
Service Revenue	1,603.3	1,581.5	1,393.2	1,621.4	2,069.6	2,109.6	2,467.7	2,833.0	3,130.0	3,325.4	3,624.7	3,950.9	4,266.9	4,608.3	4,977.0	5,375.1	5,805.1
Total Revenue	4,225.8	4,262.6	4,147.3	4,491.5	5,103.6	5,480.2	6,150.0	6,876.0	7,627.0	8,313.4	9,061.6	9,877.2	10,667.4	11,520.7	12,442.4	13,437.8	14,512.8
Revenue Growth	*-*	*1%*	*-3%*	*8%*	*14%*	*7%*	*12%*	*12%*	*11%*	*9%*	*9%*	*9%*	*8%*	*8%*	*8%*	*8%*	*8%*

Appendix



Source: RBC Capital Markets Telecom Services & Communications Infrastructure Report

	1Q21	2Q21	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24
Chindata	70%	39%	47%	20%	20%	29%	3%	19%	34%	31%	31%	31%	-
Coresite/AMT DCs	0%	3%	5%	-	1%	9%	22%	32%	44%	36%	40%	40%	35%
VNET Group	60%	60%	60%	37%	53%	38%	37%	44%	42%	42%	42%	59%	75%
Digital Realty	32%	42%	38%	46%	54%	51%	61%	59%	55%	55%	48%	54%	65%
EQIX-xScale	-	62%	48%	66%	66%	74%	78%	62%	62%	51%	39%	73%	84%
GDS	70%	58%	62%	61%	63%	64%	72%	72%	74%	75%	76%	76%	74%
Iron Mountain (DCs)	75%	70%	63%	59%	81%	79%	82%	86%	91%	91%	92%	92%	90%
QTS Realty*	80%	80%	-	-	-	-	-	-	-	-	-	-	-
CyrusOne*	69%	86%	82%	80%	-	-	-	-	-	-	-	-	-
NEXTDC	50%	50%	-	-	-	-	-	-	-	-	-	-	-



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